

gap appears on the chart in September. The gap appears at the end of a downward move and closes quickly, which is typical for exhaustion gaps. Notice how a violent reversal occurs after the gap completes. Price rises from a low of about 26 to almost 31 in a few weeks.

Most exhaustion gaps occur on high volume; it is like the last gasp before price ends the trend. You can see in the figure that the exhaustion gap has high volume. Volume spikes upward even as price descends, then volume recedes but remains high for several days after the gap. The high volume highlights the struggle of investors who want to purchase the stock at a good price with those who are trying to get out of the situation at the best offer.

Opening gap. This gap type comes in two varieties, full and partial, which describes if the gap ventures outside of the prior day's high–low trading range (full) or not (partial). Because it's on the intraday scale, I don't cover it in this book. As I mentioned, my *Swing and Day Trading* book gives full treatment of this gap.

Statistics: Area Gaps

In the tables that follow, the presentation is different than in many other chapters of this book. I don't measure performance of gaps in terms of the ultimate high or low. Rather, I search for details that describe the behavior of the gaps.

The table headings show up and down gaps, not up and down breakouts. The difference is in the direction price gaps, up or down. An up gap, for example, occurs when today's low price is above yesterday's high price. A down gap happens when today's high is below yesterday's low.

[Table 36.2](#) shows general statistics for area gaps.

Number found. I didn't do an exhaustive search for gaps because it was, well, exhausting. I used 287 stocks from July 1991 to November 2018 and found 4,347 gaps. They split into bull and bear markets, up and down gaps, and four gap types. For area gaps, I found 1,140 of the critters. I should have called the exterminator.